

lab get diarrhea and the drug goes into the ash can. Or the drug succeeds, the company makes a lot of money, and the stock goes from 10 to 50. In either case, the original reason for owning the stock has been falsified, and you sell (unless you can convince yourself that the company has another great product in the lab that will fuel further growth, or that Eli Lilly is dying to acquire the company).

One of the interesting things about that kind of analysis is that it tends not to rest on numbers alone. It certainly doesn't involve trying to guess what the market's going to do; you're talking only about the company. Even when the numbers somewhat disappoint, you can still ask yourself, "Overall, are the managers you bet on coming through pretty much as you'd hoped?" A portfolio manager who thinks this way will look for companies he really likes, businesses he wants to participate in, go into partnership with.

In real-life portfolio management, sell decisions are often tough. You can't really apply hard-and-fast rules. Instead, you have to continually reevaluate each situation. If a company's earnings come through lower than we expected, we go over our numbers, talk to management, and decide whether we were right; and we either stick with the company for the long pull—even buy more stock as its price drops on the disappointing news—or sell because we see now that our original premise was mistaken.

It is equally hard to decide what to do when the stock price has gone up. We started buying grand-slammer International Game Technology when it was selling at eight and ten times earnings. It rose to where it was selling at over forty times earnings, and I did some selling. When a stock is selling at forty times earnings, the company needs to be extraordinarily successful for the investor to earn an ordinary return. Our model will show that the stock has no return left in it, and the sell signal is clear.

Some may say that earnings growing at 25 percent a year justify a 40 P/E, but it's extremely difficult for a company to maintain that kind of growth, even for a short period of time, and no company can do it over a long period of time. If the company makes its 25